COURSE: BANK LENDING AND LOAN ADMINISTRATION

COURSE CODE: FIN 417

TOPIC: BANK LENDING ENVIRONMENT

INTRODUCTION

Bank Lending is a very important function of the banking system, providing liquidity in the economy, profitability of the banks through the interest charged as well as impacting on the economic growth rate and the business net worth of nations. The banking sector helps to make credits available by mobilizing surplus funds from surplus unit (savers) who have no immediate needs for such funds and thus, channel such funds in form of credits to the deficit unit (investors) who have ideas on how to create additional wealth in the economy but lack the necessary capital to execute such ideas. This is done through the process called financial intermediation.

NATURE OF BANK LENDING

Commercial banks are business entities which are established for the purpose of carrying out banking operations with the aim of earning reasonable returns for the shareholders. This implies that such organizations cannot be operated effectively and efficiently without internal laws, regulations and procedures for transacting banking business. Hence the need for operating policies by commercial banks cannot be overemphasized. A bank is a financial intermediary for the safeguarding, transferring, exchanging, or lending of money. When customers deposit their money with a bank, they are giving the bank permission to borrow the money. This borrowed money is what is used for the loans to the bank customers. The bank pays a smaller amount of interest to the customer who allowed them to borrow the money and charges a larger amount of interest to the customer they lent the money to. The bank makes money from the difference in the interest.

The prolonged crisis with banking sector problems, liquidity and sovereign risks, unprecedented policy interventions and protracted low interest-rates has altered the market environment in which financial firms and investors operate. Financial fraud and banking scandals have additionally undermined the already low confidence in the sector, and raised concerns about structural flaws in the way banks operate and are being regulated and supervised. Misconduct is still widespread in the financial services industry.

The banking regulations in Nigeria embodies various legislations and supervisory regulations. The primary legislation that regulates and directs the affairs and operations of banks in Nigeria is the Banks and other Financial Institution Act (BOFIA of the Act). This Act grants the Central Bank of Nigeria the power and authority to supervise and regulate all banks and other financial institutions in Nigeria.

Other laws regulating banking activities in Nigeria include the Central Bank of Nigeria Act 2007, the Nigerian Deposit Insurance Corporation Act, Companies and Allied Matters Act 2020, the Foreign Exchange (Monitoring and Miscellaneous Provisions) Act 1995, Financial Reporting Council of Nigeria Act 2011 and Monetary Policy Committee (Section 12 of the CBN Act).

OBJECTIVES OF BANK LENDING

The major operational business of commercial banks revolves around financial intermediation. In carrying out this business the banks would source for funds from various members of the public. The funds of the customers are held in safekeeping of the banks and therefore, such funds must be made available to the depositors whenever they demand for them. The implication is that banks strive to ensure that the funds are available for payments to the depositors on periodic basis for their needs and commitments. In the process of performing the other aspect of financial intermediation, the commercial banks usually keep the interest in uppermost consideration so as to discharge their delicate function efficiently. The objectives of bank lending include:

(i) Stimulate economic growth and development:

This is done by lending money to businesses to purchase assets that will grow their business, which will in turn produce more goods, create more sales, and stimulate the economy, while at the same time making enough profit from the new assets to be able to pay the money back in a timely fashion with interest thereby making the bank to earn profits and deliver returns to its shareholders.

(ii) Encourage savings and investment:

Bank lending encourage savings by individuals and organizations which are taken to the bank for safe keeping or eventually give the money as loans and overdrafts to their customers.

(iii) Maintain maximum profitability to shareholders and liquidity to investors:

Bank lending enable banks to earn profit through the difference between the interests paid on savings and fixed deposits and that charged on loans and overdrafts. Part of the profit earned is given as dividend to shareholders while the remaining part is retain in the bank to enhance liquidity and provide for expansion and growth in the business.

(iv) Realize government policy objectives:

Banking is used as a vehicle for driving government monetary policy through expansion and contraction in the amount of credit facilities due to the economic situation of a country.

The basic reasons for the management of lending and credits by the banks, include the following:

i. Safeguarding the funds of the depositors;
ii. Generating enough funds to meet depositors' demands;
iii. Ensuring their profitable operations;
iv. Protecting the interest of their shareholders;
v. Ensuring efficient administration of lending and credits;
vi. Ensuring positive capital base for their operations;
vii. Protecting the values of the shares in the capital market;
viii. Properly aid the growth of industrial undertakings;
ix. Creating conducive environment for economic development.

PRINCIPLES OF BANK LENDING POLICIES

There are basic principles which normally come into play when the commercial banks consider the establishment of lending policies for their operations. Such principles of bank lending are as identified and discussed below.

(i) Safety:

This is the most important principle of good lending. The bank ensures that the money advanced by him goes to the right type of borrower and is utilized in such a way that it will not only be safe at the time of lending but remain so throughout the period, and after serving a useful interest purpose in the trade or industry where it is employed to repaid with interest.

(ii) Liquidity:

It is not enough that the money will be repaid back, it is also necessary that it must be repaid back on demand or in accordance with agreed terms of repayment. The borrower must be in position to repay within a reasonable time after demand for repayment is made and the source of repayment must be definite. This is because bulk of the bank deposits are repayable on demand or short notice and liquidity of the borrower can affect the ability of the bank to repay its depositors on demand in spite of the safety.

(iii) Profitability:

Loans are usually granted with the intention of earning some income for the banks. This income can only be earned by the bank through the interest charges being made from the loans granted to customers. The interest on loans from the banks to customers are normally established taking into consideration the prevailing market rate and the established bank rate by the apex bank in the economy, which is called the monetary policy rate. The interest rate being charged on loans by the commercial banks is normally higher than the bank rate being charged by the apex bank, and building into it other charges as may be determined by the banks.

(iv) Diversification:

In the process of granting loans to customers, the banks consider the composition of the loan portfolio so as to strike the desired diversity of the investment. The loans being granted to customers are not normally concentrated in a particular type of sector but in different types of sectors, which will have to conform to the policy of sectorial distribution of loans as demanded by the apex bank. The distribution of the loan portfolio is also imperative towards minimizing risks that are always inherent in lending of funds. The principle of diversity is also applicable to spreading loans to various industries, firms, businesses and trades. Hence, commercial banks do strive to spread of risks of investment in loan portfolio by giving out credits to various trades and industries.

(v) Stability:

Commercial banks only advance loans to customers whose businesses generate stable incomes. For instance, a customer who applies for a loan facility should have his project or business evaluated to determine the possibility of such ventures generating constant income with which to serve the loan and make repayment on regular basis. Therefore, for a new project the technical feasibility and economic viability report will be evaluated to determine the nature of cash inflows in terms of stability of earnings, which will be used for repaying the loan and servicing it. The regularity of the earnings is very important and this will depend on the prudent management of the project. In the case of existing business, the financial reports for a period of not less than five years on consecutive basis will be evaluated to determine the regularity and quantum of earnings. Such assessment is used to evaluate the stability of such earnings towards definite repayment of loan facility.

(vi) Purpose:

The purpose should be productive so that the lending would not only remain safe but would provide definite source for repayment. It would be important if the purpose is short and the risk is small and the money be applied for the purpose intended.

MAJOR AREAS OF BANK POLICIES ON LENDING

There are critical areas relating to lending that the banks do not normally take for granted in the formulation of bank policies. Such areas for policy formulation on bank lending are as identified and discussed below.

Loan Limit:

Policies are normally set for the granting of loans by the various officers of the bank that are directly involved in lending. In setting the magnitude of loan that can be approved by the officers in charge of credits, certain factors are usually taken into consideration. In terms of policy on loan limit for the officers, the factors taking into account may include the position of the officer, the level of expertise in sector of the economy, the performance of the officer in handling loans in the past; and understanding of the customers' product markets. In terms of the loan limit for the customers, the following factors, among others, are taken into consideration; creditworthiness of the customer; performance on previous loans, for old customer; performance of the business in the last few years, market share in the industry, geographical area of operations, operational capacity, level of demand for the product or service in the economy; magnitude of cash inflows on periodic basis; and customer's character and other personal qualities.

Loan Supervision:

It is very important for the bank to set policies on loan supervision. The policies on granting of loans, their supervision, and recovery drive are normally established taking into consideration the relevant strategies used in the past and those ones being utilized by other banks. Bank policies on loan supervision are used to address responsibilities such as:

i. Teams to be constituted for checks and balances;
ii. Superior officer(s) to be in charge of reports and evaluation,
iii. Time line for periodic reviews of loan portfolio for compliance on laid down regulations;
iv. Number of loan recovery visits to customers who are loan beneficiaries in a period.

v. Charting out procedures for compliance with extant banking laws and regulations on loan facilities;
vi. The rate of interest to charge in line with prevailing market rate and bank rate;
vii. Spread of available funds for different sectoral allocations; and
viii. Repayment drive to keep pace with liquidity needs.

Credit Risk Management:

A policy is usually established for the management of the credit risk in terms of the problems that can emanate from loan recovery by the bank. The policy is on the following areas of responsibilities:

i. Manager's responsibility in preventing credit risks;
ii. Assistant Manager's responsibility in credit risk management;
iii. Loan officers' responsibility in preventing credit risks;
iv. Hierarchical authority for handling credit risks; and
v. Actions necessary in managing difficult beneficiaries of loans.

There are other areas of responsibilities for the management of credit risks by various bank officials, which are not covered by above list. Therefore, the list is by no means exhaustive for the purpose of credit management of credit risks by the banks.

Management of difficult Loan Beneficiary:

There should be policy on how a difficult loan beneficiary can be managed by relevant bank officials. Such policy should be used to specify the necessary actions to be initiated and taken by the bank officials to recover the amount of loan involved in the transaction. The necessary directives in managing difficult account involve the following considerations:

i. The use of committee for the recovery of the funds;
ii. Discussion with the difficult customer by the bank officials;
iii. Visit to the business premises of the customer for assessment;
iv. The use of subtle pressure on the customer, e.g., threat of legal action;
v. Constant visits for help in managing the affairs of the customer;
vi. Threat of disposing off the collateral security pledged for the loan; and
vii. Legal letter on the status of the customer and the plan to take action on the business for the recovery of the outstanding amount of loan.

Monitoring Customer Accounts:

Policy on controlling the account of the customer who is a loan beneficiary is also necessary for consideration in establishing banking policies. The control of customer account is necessary because of the fact that a customer can be playing pranks on the repayment of loan and payment of interest on such funds. The policy on control of customer account always emphases the following considerations:

(i) Constant monitoring of repayment status;
(ii) Periodic statement being issued to the customer;
(iii) Constant reminder on outstanding balance of the loan;
(iv) Alert sent to the customer whenever any payment is made;
(v) Any discrepancy such as delay or amount less than expected in repayment be communicated to the customer immediately;
(vi) Alert on due date for next payment be sent to the customer on monthly basis;
(vii) Monitoring of withdrawals from the customer account as not to jeopardize repayment of funds loaned to him or her. The above list is by no means is exhaustive, and therefore, it is left for individual banks to decide on the necessary considerations in this respect.

Monitoring and Review of Customer Case:

This is done to evaluate the performance of a customer's account. It is necessary in the management of the bank's liquidity particularly in the case of big time customers of the bank. In addition, there is every likelihood that such customers will use their accounts to demand for overdraft or loans in the course of their operations. There are areas on which policies can be established for such purpose. The account turnover, trends in account balance with the bank, amount in cheques drawn and customer's performance in standing order can be used to monitor the account of such customer who are known for keeping large amount of funds in their account: